

MBA - INT
(SEM VIII) THEORY EXAMINATION 2022-23
BEHAVIOURAL FINANCE

Time: 3 Hours

Total Marks: 100

Note: Attempt all Sections. If require any missing data; then choose suitably.

SECTION A

1. Attempt all questions in brief.

2 x 10 = 20

- (a) What do you mean by behavioral finance?
- (b) Define random walk.
- (c) What is the term for the 'rule of thumb' type of bias in decision making?
- (d) Simon (1960) is associated with what type of decision making model?
- (e) What is the term for decisions limited by human capacity to absorb and analyse information?
- (f) What are the advantages of bounded rationality?
- (g) What Is a Bubble?
- (h) How the stock market is influenced by external factors?
- (i) Why does a stock go down on ex-dividend date?
- (j) What are the psychological benefits of taking risks.

SECTION B

2. Attempt any three of the following:

10x3=30

- (a) "Market psychology is the consensus sentiment of the market as a whole based on the aggregate of individual market participants." Define.
- (b) "Some of our assumptions about risk deal with a person's individual attitudes toward risk and their understanding of a specific situation." Elaborate.
- (c) Consistent with the COVID-19 period, we again find that retail trading leads to more volatility during the financial crisis vis-à-vis the pre-crisis period. These results again support the idea that periods of crises strengthen the link between retail trading and volatility.
- (d) Behavioral Finance deals with the internal and external behavioral factors affecting investors' financial decisions. Elaborate with example.
- (e) "The five factor model delineates five broad traits--extraversion, neuroticism, agreeableness, conscientiousness, and openness to experience--that encapsulate most of the differences in personality across individuals." Elaborate.

SECTION C

3. Attempt any one part of the following:

10x1=10

- (a) Emotion is an important aspect of the human condition that can enhance decision making. Explain this statement with an example.
- (b) Greed, fear, expectations, and euphoria are all factors that contribute to markets' overall market psychology. Correlate this with behavioural finance.

4. Attempt any *one* part of the following: 10x1=10
- (a) "An individual calculates the probability of expected outcomes in such events and weighs them against the expected utility before making a decision." Which utility theory explain this?
 - (b) "Seeks to combine behavioral and cognitive psychological theory with conventional economics and finance to provide explanations for why people make irrational financial decisions." Explain.
5. Attempt any *one* part of the following: 10x1=10
- (a) What is bounded rationality according to Herbert Simon in the context of decision-making?
 - (b) "A bubble is an economic cycle that is characterized by the rapid escalation of market value, particularly in the price of assets." Define.
6. Attempt any *one* part of the following: 10x1=10
- (a) Making an investment decision requires taking into account a number of important factors, including your personal financial objectives, risk tolerance, and budgeting abilities. Define.
 - (b) Individual psychology plays a limited role in finance theory, which assumes that individuals maximize expected utility, with expectations derived using the rules of probability and statistics. Elaborate. <https://www.pyqonline.com>
7. Attempt any *one* part of the following: 10x1=10
- (a) What are the different personality traits influencing investor's attitude towards investment portfolio? Define their investment decisions making process.
 - (b) Attitude towards investment depends on agreeableness and risk tolerance; the remaining variables such as neuroticism, openness, extraversion, conscientious, and locus of control are not influencing the attitude towards investment. Define.